



STARTUP FAILURE #002 · MONDAY

Quibi. \$1.75B, dead in 6 months. The full write-up.

Series · Startup Failure (Mon) Date · 27 Jul 2026 Subject · Quibi Framework · Assumption vs Reality

01 Carousel caption (posts 08:00 IST)

How do you burn \$1.75 billion and shut down in six months?

Meet Quibi. Backed by Jeffrey Katzenberg and Meg Whitman, funded by Disney, Sony, Alibaba and Goldman Sachs. On paper, unstoppable.

The pitch sounded perfect. Short-form video was exploding, so Quibi put Hollywood on your phone: big stars, big budgets, episodes under ten minutes, made for your commute.

It launched in April 2020. It was dead by December.

Here's the part most people miss. Quibi wasn't a bad product. It was beautifully built. It was solving the wrong problem.

Every choice was optimised for the product they imagined, not the way people actually watch. It was paid, in a world of free. Mobile-only, so you couldn't cast it to your TV. It had no clips and no sharing, so nothing could go viral. And it launched into COVID, right as the commute it was built for disappeared.

While Quibi bet on Hollywood, TikTok bet on creators. One assumed what people should want. The other watched what they actually did.

The assumption: people want premium Hollywood content, on the go.
The reality: people wanted free, shareable, creator-led content, at home.

Quibi built the future they imagined. TikTok built the future people actually wanted.

The Founder Playbook: Product-market fit beats funding → Distribution matters as much as content → Listen to behavior, not boardroom assumptions → Premium doesn't always create value → Simplicity wins.

💬 What are you building for assumptions instead of behavior?

❤️ Save this for your next product decision.

📖 Sources: CNBC, Wikipedia, The Verge, NBC News

⚠️ Editorial analysis of publicly available information.

#startup #startupfailure #productmarketfit #founders #casestudy

SEO Keywords (one line, comma-separated, for captions, alt text, cross-posting, YouTube/blog)

quibi, quibi failure, why quibi failed, quibi shutdown, jeffrey katzenberg quibi, meg whitman quibi, product market fit, startup failure case study, quibi vs tiktok, streaming startup failure, 1.75 billion startup, quibi business case study, consumer behavior strategy, why startups fail, startupsutra startup failure, mobile only streaming, short form video, product strategy lessons, startup lessons, quibi roku



02 Reel captions

REEL A · STORY · ~24S · 20:00

They raised \$1.75 billion. Then died in six months. Quibi put Hollywood on your phone: big stars, ten-minute episodes. Everyone believed, Katzenberg, Disney, Alibaba. But it was paid, mobile-only, un-shareable, and it launched into COVID. Quibi built the future they imagined. TikTok built the future people actually wanted. Follow @statupsutra for Startup Failure, every Monday. [#startup](#) [#startupfailure](#) [#productmarketfit](#) [#founders](#) [#quibi](#)

REEL B · STRATEGY · ~22S · 13:30

Quibi didn't fail because it lacked money. It had \$1.75 billion. It failed because it misread how people watch: paid in a free world, mobile-only, no sharing. That's the lesson in one line: product-market fit beats funding, every time. Own the behavior, not the assumption. Follow @statupsutra for Startup Failure, every Monday. [#startup](#) [#startupfailure](#) [#productmarketfit](#) [#strategy](#) [#founders](#)

03 Alt text 9 slides

1. Startup Failure, Quibi. How do you burn \$1.75 billion and die in 6 months. Raised 1.75 billion, alive 6 months, sold for under 100 million.
2. Snapshot: Quibi, founded 2018 in LA by Jeffrey Katzenberg and Meg Whitman, raised \$1.75B from Disney, Sony, Alibaba, Goldman; premium short-form video, Apr to Dec 2020.
3. The opportunity: short-form video was exploding, so Quibi put Hollywood on your phone with big stars and ten-minute episodes. On paper it sounded perfect.
4. The product: premium episodes under 10 minutes, mobile only, a paid \$4.99 to \$7.99 subscription, and Turnstyle rotation. Optimised for the product they imagined.
5. What went wrong: paid in a world of free, mobile-only with no TV, no clips or sharing, launched into COVID, and it ignored the creator economy.
6. Consumer behavior won: TikTok (free, social, creator-led), YouTube (free, any screen), Netflix (TV, binge) vs Quibi (paid, mobile-only, no sharing).
7. Assumption vs reality. Assumption: people want premium Hollywood content on the go. Reality: people wanted free, shareable, creator-led content at home.
8. The fatal mistake: they optimised for production quality, not consumer behavior. Quibi built the future they imagined; TikTok built the future people actually wanted.
9. Founder playbook: product-market fit beats funding, distribution matters as much as content, listen to behavior not assumptions, premium isn't value, simplicity wins.

04 Hashtags and timing

CORE

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EXTENDED

[#quibi](#) [#startuplessons](#) [#productstrategy](#) [#consumerbehavior](#) [#tiktok](#) [#streaming](#) [#businesscasestudy](#) [#entrepreneurship](#) [#startupindia](#)

No active company to tag (Quibi is defunct).

RECOMMENDED IST SCHEDULE

TIME	ASSET
08:00	Carousel, slides 1 to 9
13:30	Reel B, PMF (~22s)
20:00	Reel A, story (~24s)

Cinematic, tense build; a beat drop on the shutdown.